

George: Procurement, Transport, Logistics and Stock Management

Business-plan workstream

Geography: South Africa

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***Professional disclaimer.** This operating plan is a decision and control framework, not a legal opinion, SAHPRA approval, product-registration decision, customs ruling, medical recommendation, or certification that any peptide SKU or business model is lawful. Before ordering, importing, advertising, storing, or supplying a product, George must obtain product-specific South African regulatory, pharmacy, customs, tax, quality, and—where relevant—environmental advice.*

1. Executive decision

George should establish a **quality-led, gated supply chain** rather than begin by selecting inexpensive suppliers or ordering trial stock. The first non-negotiable gate is a signed classification and route-to-market memo for every proposed SKU. The word “peptide,” a “research use only” label, a cosmetic description, or a supplement description does not by itself determine the legal pathway. SAHPRA warned in May 2026 that unregistered peptide products were being marketed in South Africa and reiterated that products intended to treat, prevent, or alter bodily functions require medicines oversight.¹ Until classification, scheduling, product registration or authorisation, responsible entity, customer class, claims, import route, and storage requirements are confirmed, the SKU must remain **BLOCKED**.

The operating design should maintain four separate channels: **clinician/pharmacy medicines, genuine non-clinical research supply, cosmetics, and Category D health supplements or foods**. These channels may share corporate governance and selected infrastructure, but their products, claims, websites, customer approvals, inventory statuses, documentation, and sales workflows must not be mixed. Unregistered clinical supply through section 21 or an approved clinical trial is conditional access, not an ordinary retail-stock pathway.³

The lean launch model is to use qualified, appropriately licensed external partners for importation, wholesaling, testing, warehousing, customs clearance, and temperature-controlled distribution until volume and regulatory certainty justify owned infrastructure. George should retain internal control of classification, supplier approval, purchase authorisation, release decisions, landed-cost economics, stock policy, customer eligibility, complaints, recalls, and management review. Outsourcing execution does not remove the need to define and oversee accountability.

2. Operating-model boundary

Channel	Permitted operating concept	Mandatory controls before stock	Prohibited shortcut
Clinician/pharmacy medicines	Registered products in an authorised chain; separately controlled section 21 or clinical-trial pathways where applicable	Product and establishment authority, authorised prescriber/dispensing chain, Responsible Pharmacist or authorised Quality release, GxP storage/distribution, vigilance and recall	Treating section 21 as general ecommerce access or speculative stock
Non-clinical research supply	Verified institutional/laboratory use with objective non-human-use purpose	Written classification, scheduling/permit review, verified organisation and researcher, end-use declaration, quantity plausibility, resale/human-use blocks, lot genealogy	Assuming “RUO” wording automatically exempts the product
Cosmetics	Non-therapeutic cosmetic product supported by current binding-law and claims assessment	Formula and safety file, supplier/manufacturing controls, label and claims approval, stability and batch traceability	Making medicinal, disease, recovery, weight-loss, or invasive-use claims
Category D supplement or food	Only where exact formulation, range, dosage form, claims and applicable call-up/food status support the route	Product-specific Category D or food assessment, licensing and import review, compliant label/claims, quality specification	Assuming any peptide or amino-acid product qualifies as a supplement

This boundary must be coded into the product master, approved supplier list, customer master, website architecture, order workflow, and warehouse status logic. A product may not be moved between channels without a fresh Regulatory and Quality assessment and formal change control.

3. The “no purchase order” gate

No request for quotation, sample order, supplier deposit, purchase order, import booking, or product promotion should be approved until the following record is complete.

Required decision	Minimum evidence	Accountable approval
Exact SKU identity	Sequence/substance, salt/form, concentration, dosage form, pack, sterility claim, manufacturer and site	Quality

Required decision	Minimum evidence	Accountable approval
Intended use and claims	Label, website, social copy, sales script, customer type and route of use	Regulatory/Legal
Legal classification	Medicine, scheduled substance, investigational/section 21, research material, cosmetic, supplement/food, or unresolved	Regulatory/Legal
Registration, licence and permits	Product authority, section 22C activity scope, pharmacy/premises status, permits and customer authority where relevant	Regulatory and Responsible Pharmacist
Customs path	Importer of record, HS classification review, valuation/origin, restricted-goods conditions, broker and authorised gateway	Customs owner and Finance
Quality specification	Approved tests, methods, numerical criteria, storage, stability, shelf life, transport condition, change-control requirements	Quality
Supplier and site	Approved legal entity, manufacturer site, distributor chain, GMP/inspection evidence, audit/CAPA status	Quality and Procurement
Logistics lane	Qualified pack-out, carrier, gateway, dwell-time limits, logger, handoffs, contingency and last mile	Quality and Logistics
Commercial case	Total landed cost, MOQ, usable shelf life, demand scenario, working capital, gross margin and downside	Finance and Executive

The companion workbook implements this gate on its **SKU Gate** sheet. A row may advance to purchasing only when classification is **Approved**, required authorisations are verified, the supplier-site-product combination is approved, and the storage/transport condition is defined.

4. Procurement system

4.1 Approved supplier architecture

George should maintain an **Approved Supplier List (ASL)** at the level of legal supplier, actual manufacturer, manufacturing site, product/grade, approved specification, testing laboratory, shipping lane, and status. Approval of a distributor does not approve every manufacturer it can source from. Concealment of the true manufacturer, undocumented subcontracting, inconsistent legal entities, or refusal to authenticate quality records should be disqualifying.

Supplier qualification should be risk-based. Sterile or injectable presentations, scheduled substances, single-source products, opaque broker chains, products with cold-chain exposure, and suppliers outside strong regulatory oversight require deeper audit and independent verification. SAHPRA's licensing and GWP framework should be checked against the exact activity and current licence scope.[2](#) [4](#)

Qualification area	Evidence and test	Decision rule
Corporate legitimacy	Registry details, beneficial ownership, physical site, authorised signatory, verified bank account	Legal entity and bank beneficiary must match the contract; changes require independent callback and dual approval
Regulatory scope	Current licences, product/activity/site scope, regulator database verification, inspection history	A certificate PDF supplied by Sales is not sufficient
Manufacturer transparency	Actual synthesis/manufacturing, lyophilisation, aseptic, packaging and testing sites; subcontractors	No undisclosed manufacturer or site
Quality system	Relevant GMP/ICH Q7 evidence, audit, data integrity, deviation/CAPA, complaints and recall history	Critical audit findings must be closed before commercial approval
Product evidence	Approved specification, methods, batch CoAs, stability, packaging compatibility, transport studies	Generic “99% HPLC purity” is not a complete specification
Laboratory competence	Exact analyte/matrix/method scope, method validation or verification, reference standards and OOS controls	ISO/IEC 17025 supports competence only within the laboratory’s live scope
Supply continuity	Capacity, campaign schedule, lead-time history, MOQ, alternate site/source, interruption plan	Single-source exposure requires an approved contingency
Ethics and fraud	Sanctions/adverse actions, conflicts, anti-bribery controls, email/domain and invoice verification	No payment to personal, unrelated third-party, or unverified accounts

4.2 Product specification and testing

Specifications must be product- and route-specific. For a peptide-related material, core fields commonly include exact name and sequence, physical form, counter-ion, identity, assay/content basis, chromatographic purity, named and unknown impurities, water, residual solvents, storage, retest/expiry date, and packaging. Sterility, bacterial endotoxin, bioburden, particulate matter, container-closure integrity, potency/activity, elemental impurities, or aggregation are added only where the product, route, process, dossier, or risk requires them. **Sterility and endotoxin are distinct controls**, and neither should be inferred from chromatographic purity.

An original or authenticated electronic certificate of analysis should state the manufacturer/testing site, batch, specification and method versions, numerical results, units, criteria, dates, storage condition, and authorised approval. Initial commercial lots should undergo risk-based independent identity and specification testing. Reduced testing may be considered only after documented supplier qualification, reliable comparative history, continued periodic full testing, and a lawful scientific justification. ICH Q7 provides a

recognised technical benchmark for supplier evaluation and certificate reliance, while the applicable South African requirements and approved product commitments remain controlling.[5](#)

4.3 Quality and commercial agreements

A quality agreement should be separate from the price agreement and allocate specifications, release, data access, audits, deviations/OOS/OOT, stability, complaints, recalls, temperature excursions, transport, subcontracting, change notification, falsification, document retention, and regulatory inspection responsibilities. Commercial terms should separately address price, MOQ, forecast, lead time, Incoterms® 2020 rule and named place, title, insurance, payment, rejection, replacement, and remedies.[10](#)

For early imports, **FCA at a named origin point** often gives George or its appointed forwarder more control than vague EXW terms, while CIP may be suitable when its insurance and handling are demonstrably adequate. DDP should not be accepted unless the seller can lawfully and transparently perform the importer role. The chosen rule is a commercial allocation tool and does not replace quality, customs, temperature, or legal obligations.

4.4 Purchase-to-pay controls

The requester should raise demand; Regulatory confirms the lawful route; Quality confirms the ASL and specification; Procurement documents quotations and terms; Finance validates the vendor, bank, budget, FX, and landed cost; designated executives approve value thresholds; Receiving records the goods; Quality releases or rejects; and Accounts Payable performs three-way matching. No one person may create or change a vendor, approve the purchase, receive/release stock, and approve payment.

5. Landed-cost and purchase economics

The purchase decision must use **total landed cost per usable unit**, not catalogue price. Exact duties, import VAT treatment, tariff classification, origin and permits must be checked for each SKU with current SARS information and qualified advice.[6](#) [7](#)

Landed cost = supplier price + qualification/testing + reference standards + freight + validated packaging/loggers + insurance + export documents + broker/clearance/handling + duties and taxes + payment/FX costs + demurrage/controlled storage + quarantine carrying cost + expected rejection/expiry allowance.

The workbook's **Landed Cost** sheet calculates a pre-duty customs value, duty, import-VAT input, total landed cost, cost per unit, and contingency-adjusted cost. Duty and VAT cells are intentionally editable because no generic peptide rate is valid. The model should be

reconciled to the customs entry and supplier invoice after every shipment; repeated variance indicates a weak buying assumption or incorrect master data.

MOQ discounts should be rejected where the expected expiry, cold-storage cost, working-capital burden, or regulatory change risk exceeds the unit saving. The purchase cap must be linked to expected consumption before the product's **last-ship date**, not merely before the printed expiry date.

6. Import, transport and logistics design

6.1 Recommended launch network

The default planning assumption is a small, high-value portfolio entering through a qualified air-freight gateway and being held in a qualified Gauteng facility. **OR Tambo should be evaluated as the primary gateway**, not assumed automatically. Cape Town or another authorised route should become an alternate only after regulatory, customs, security, temperature, and service capability are qualified. Ocean freight is appropriate only for stable bulk/raw materials with sufficient validated hold time; ordinary postal channels are not recommended for controlled commercial supply.

George should act as importer of record only when appropriately registered with SARS and authorised for the applicable health-product activities. Otherwise, it should appoint a qualified licensed importer/wholesaler under a clear quality agreement. SARS requires commercial import declarations and may detain goods for other authorities; restricted goods are released only when applicable conditions are met.[6](#) [7](#)

6.2 Product service classes

Class	Use	Core controls
Qualified ambient	Only within the manufacturer-approved range	Lane profile, tamper seal, condition monitoring where justified, maximum dwell, no uncontrolled storage
Refrigerated	Exact approved range, commonly but not universally 2–8°C	Validated passive/active pack, conditioned media, freeze protection, calibrated logger, delay buffer
Frozen/ultra-low	Exact approved range	Qualified system, dry-ice or active-container controls where applicable, airline acceptance, replenishment/recovery plan
Secure/controlled	Scheduled, high-value, diversion-prone or sensitive product	Vetted handlers, locked vehicle/storage, GPS/geofencing, seals, restricted data, no safe drop

Class	Use	Core controls
Dangerous-goods overlay	Dry ice, certain battery trackers, solvents or other classified hazards	Current modal classification, trained personnel, approved packaging, marking, documents, operator acceptance

No universal peptide temperature should be inserted into master data. The manufacturer-approved label, stability evidence, and quality agreement govern each SKU. WHO guidance calls for route-appropriate qualification of time- and temperature-sensitive packaging and distribution systems.[8](#)

6.3 Green-light-to-ship control

Before origin pickup, the customs broker should confirm importer registration, HS code, valuation/origin basis, restrictions, permits/licences, invoice, packing list, airway bill details, and planned port-health or regulator handoffs. The forwarder should confirm the booking, time-and-temperature service, ground-handler facilities, active-container or logger acceptance, dry-ice rules where relevant, 24-hour contacts, and contingency route. The receiving facility should confirm capacity, staff, secure access, and the ability to receive outside normal hours.

IATA's time-and-temperature healthcare process expects the external transport range to match the airway bill and package label and requires appropriate shipment acceptance information.[9](#) Carrier certification is useful supporting evidence, but George must still qualify the actual product-packaging-lane combination.

6.4 Packaging and lane qualification

A qualified pack-out defines every component, coolant conditioning method, product placement, dunnage, minimum and maximum payload, logger position, seal, label, external temperature profile, and qualified duration. Qualification should challenge summer and winter profiles, customs delay, missed connection, weekend/holiday, low/high payload, door-open exposure, failed delivery, and the recovery method. The qualified duration should exceed the expected end-to-end time by a documented risk-based delay margin.

Each temperature-controlled shipment should use a calibrated logger; high-risk frozen or long shipments may require redundancy or real-time tracking. Airline approval is required for active devices, especially where lithium batteries or transmitting functions are involved. Raw logger data, calibration evidence, device ID, time basis, and audit trail must be retained.

6.5 Chain of custody and last mile

The chain-of-custody record should capture shipment ID, SKU, lot, expiry, quantity, seal and logger IDs, custodian, location, timestamp, vehicle/flight, condition, exception, and final recipient. Handoffs should be scanned at origin pickup, export acceptance, airline/ground handler, customs release, controlled transfer, warehouse receipt, domestic dispatch, and

delivery. High-value or controlled consignments require vetted drivers, tracked vehicles, restricted disclosure, a no-unattended-drop rule, and prompt escalation of loss or tampering.

Last-mile delivery must be prearranged with an authorised recipient who can place the goods into the correct storage immediately. Proof of delivery should identify the recipient, role, time, location, seal/package condition, and temperature/logger handling where required. A failed delivery returns to a qualified depot or warehouse in quarantine, not an uncontrolled courier cage or vehicle overnight.

6.6 Excursions, returns and contingencies

A temperature alarm or custody gap automatically places affected lots on **QUALITY-HOLD**. Current temperature returning to range does not release the stock. Quality assesses magnitude, duration, cumulative exposure, freeze/heat sensitivity, product stability, package performance, and logger reliability, consulting the manufacturer or marketing-authorisation holder as appropriate. Only authorised Quality/Responsible Pharmacist disposition can release, reject, return, or destroy the lot.

Customer returns enter **RETURN-QUARANTINE**. Cold-chain returns default to no-restock unless original packaging is intact, identity is certain, full custody and temperature history are reliable, and a documented authorised assessment supports release. George should maintain two qualified forwarders or recovery routes for critical lanes, backup cold storage and power, spare qualified pack-outs/loggers, and a 24/7 escalation list.

7. Warehouse and stock-management system

7.1 Lean system architecture

The recommended launch configuration is one cloud inventory/ERP source of truth, controlled product and partner masters, barcode-assisted receipt/movement/pick/dispatch, lot and expiry control, a validated audit trail, two scanners, calibrated monitoring, a controlled document repository, and a tested paper downtime process. Avoid spreadsheet side-ledgers once go-live occurs. The companion workbook is a setup and control template, not a substitute for a validated operational inventory system.

Warehouse zones should include receiving, **QUARANTINE**, released ambient, mapped cold/frozen storage where needed, **QUALITY-HOLD**, **RETURN-QUARANTINE**, rejected/expired/recalled/destruction-pending stock, and secure scheduled/high-value storage. Exception stock must be both electronically blocked and physically segregated. Only **RELEASED** stock may allocate.

7.2 Minimum stock record

Data group	Required fields
Product master	SKU, exact description, channel/class, schedule, pack/UOM, GTIN/barcode where relevant, product authority, approved supplier/manufacturer/site, storage range, shelf life, minimum remaining life, criticality, MOQ/order multiple, lead-time and service policy
Lot record	Manufacturer and supplier lots, manufacture date if known, expiry/retest, receipt, quantity, CoA, logger/shipping evidence, status, release/rejection approver and date
Location	Site-zone-aisle-rack-shelf-bin, temperature class, status eligibility, capacity and access restriction
Movement	Timestamp, SKU, lot, expiry, quantity/UOM, from/to bin, from/to status, user, reason and source document
Distribution	Order/customer, authorised delivery address, lot/expiry/quantity, courier, proof of delivery and return/complaint links
Disposition	Hold/deviation, recall, return, destruction order, manifest, witness where required, certificate and reconciliation

7.3 FEFO and shelf-life control

George should use **first-expiry-first-out (FEFO)**, not simple first-in-first-out. The system allocates the earliest-expiring **usable RELEASED** lot. A lot is usable only if its expiry minus the customer/channel minimum remaining-life requirement and dispatch buffer is on or after planned delivery. Expired, recalled, rejected, blocked, or short-dated lots must be hard-blocked; overrides require an authorised, reason-coded decision. WHO and SAHPRA distribution guidance support FEFO, segregation, traceability, and controlled storage.[4](#) [11](#)

Use a near-expiry ladder at 180/120/90/60/30 days, adjusted to the actual shelf life. The owner should forecast the balance expected at the last-ship date, stop or reduce replenishment, seek lawful supplier return or approved channel action, and block the lot at the last-ship date. Never extend expiry, relabel, or use misleading promotion.

7.4 Replenishment logic

The workbook's **Inventory Planner** implements these formulas using consistent time units:

Inventory position (IP) = released on-hand + confirmed open orders – allocations/backorders – blocked or unsaleable stock.

Safety stock, combined independent variability = $z \times \sqrt{(L \times \sigma d^2 + \bar{d}^2 \times \sigma L^2)}$.

Reorder point (ROP) = average demand per period × average replenishment lead time + safety stock.

Here, z is the selected service factor, L is lead time in periods, σd is demand or forecast-error standard deviation per period, $\bar{d}$ is average demand per period, and σL is lead-time standard deviation. Suggested order quantity is the positive gap to the reorder point, rounded to the order multiple and MOQ, but always capped by lawful saleability, shelf life, cash, and approved demand scenarios.

For new or intermittent-demand peptides, normal-distribution safety stock should not be trusted automatically. Use conservative/base/upside scenarios or an order-up-to policy for the review period plus lead time, with a management-approved launch buffer and a strict shelf-life cap. Record every commercial override.

7.5 Counts and reconciliation

A practical initial count schedule is weekly for A/high-risk/cold/controlled/recall-critical stock, monthly for B stock, quarterly for C stock, and a full wall-to-wall count at least annually. These are internal planning assumptions, not universal statutory frequencies. Counts should be blind where practicable, at SKU-lot-expiry-location-status level, with the bin frozen during counting. Variances require recount, root-cause investigation, and separate Quality/Finance approval before adjustment.

8. Roles and segregation of duties

Role	Primary accountability	May not do alone
Executive sponsor	Risk acceptance, funding, go/no-go and partner model	Override a regulatory block or Quality release
Regulatory/Legal	SKU classification, claims, licences, registrations, permits and change review	Approve its own unsupported commercial assumption
Responsible Pharmacist/Quality	Supplier/site/specification approval, quarantine/release, excursions, complaints and recall	Create vendor, approve PO, receive and pay the same transaction
Procurement	RFQs, ASL sourcing, contracts, forecasts and supplier performance	Add unapproved suppliers or substitute sites/products
Logistics/Customs owner	Green-light-to-ship, broker, carrier, lane, custody and contingency	Alter classification or release held stock
Warehouse	Receipt, inspection, storage, movements, counts, pick/pack/dispatch	Release, destroy, or restock exceptions without authorisation

Role	Primary accountability	May not do alone
Finance	Vendor/bank validation, budget, FX, landed cost and payment match	Approve payment without verified vendor and receipt/release evidence
IT/Data owner	Access, audit trail, backup, integrations and validation support	Change stock status or master data without business approval
Sales/Customer service	Customer eligibility evidence, demand signal and complaint capture	Promise supply, restock returns, or make unapproved product claims

9. Minimum SOP register

George should approve and train the following SOPs before commercial go-live. A quality agreement or software configuration does not replace controlled procedures.

Group	Required SOPs
Governance	Document control/data integrity; training/competency; legal register; SKU classification and claims review; licence/permit/counterparty verification; change control; deviations/CAPA; management review/self-inspection
Procurement	Supplier/site/lab/3PL/carrier qualification; ASL and customer master; specifications/methods/testing plan; audits/CAPA; quality agreements; PR/RFQ/PO approval; emergency purchasing; vendor/bank/fraud controls
Import/logistics	Customs pre-clearance and green-light-to-ship; packaging/logger/lane qualification; dangerous goods; chain of custody/security; carrier subcontracting; controlled delivery; failed delivery and contingency
Warehouse/quality	Receipt/quarantine; CoA authentication/testing/release; status/location/FEFO; temperature mapping/monitoring/excursions; cycle counts; replenishment; near-expiry; system validation/access/backup/downtime
Post-market	Returns; complaints/defects/falsification; vigilance where applicable; recall/rapid alert/mock recall; destruction/waste; business continuity

10. Ninety-day implementation programme

Phase	Timing	Required outcomes and decision gate
0. Contain and govern	Days 0–15	Freeze unresolved purchases/marketing; appoint owners; complete SKU, claims, supplier, customer and lane census; adopt four-channel separation

Phase	Timing	Required outcomes and decision gate
1. Classify and select the model	Days 0–30	Signed memo per SKU or BLOCKED status; decide owned versus contracted importer/wholesaler/pharmacy/warehouse; establish licence and permit matrix
2. Qualify partners and customs path	Days 15–60	Verify legal scopes; appoint broker; validate shipment document set; risk-rank and audit manufacturers, labs, 3PLs, carriers; execute agreements
3. Build QMS, system and premises	Days 30–90	Effective SOPs and training; controlled masters/statuses/FEFO; mapped storage; alarms/backup; qualified packaging and lanes; traceability gap plan
4. Prove with qualification orders	Days 45–90	Low-volume approved order; receipt in quarantine; authenticated documents, transport review and independent testing; actual lead-time and landed-cost reconciliation
5. Controlled launch	From approximately Day 90, only if gates pass	Approved SKUs, suppliers, customers, premises and lanes only; daily Quality exception review; constrained geography and volume
6. Sustain and scale	Monthly/quarterly/annual	S&OP, supplier/lane/quality dashboards, regulatory review, requalification, periodic testing, mock recall, continuity exercise and traceability readiness

Commercial go-live should not be tied mechanically to Day 90. If classification, licensing, testing, premises, software, or lane qualification is incomplete, the corresponding activity remains blocked.

11. KPIs and management cadence

Area	KPI	Initial control target
Regulatory	SKUs with approved classification before purchase/marketing	100%
Suppliers	PO lines from approved supplier-manufacturer-site-product combinations	100%
Quality	Critical lots received into quarantine and released by authorised Quality	100%; zero release bypass
Customs	Shipments pre-cleared before origin dispatch	100%
Temperature	Shipments within labelled conditions with complete evidence	≥99.5%; every exception held and assessed

Area	KPI	Initial control target
Custody	Required handoffs and seals complete	100%; no unauthorised safe drops
Inventory	Lot/expiry/location/status completeness	100%
Inventory accuracy	Unit-based record accuracy	≥99.5%; 100% for controlled/recall-held stock
FEFO	Eligible lines picked from earliest usable released lot	≥99.5% with documented exceptions
Traceability	Lot-to-on-hand-and-customer genealogy	≤2 hours internal target; 100% reconciled evidence
Expiry	Expiry/write-off as percentage of average inventory value	Establish baseline; planning target ≤1%, adjusted for shelf life/model
Service	On-time-in-full delivery	≥98% overall; lane-specific targets for cold-chain priority
Returns	Returns placed in quarantine and authorised before disposition	100%; no unsupported cold-chain restock
CAPA	Critical overdue CAPAs	0
Training	Role-required training and competency current	100%

The Quality exception dashboard should be reviewed daily during launch. Procurement, logistics, inventory, demand, expiry, working capital, customer service, and compliance should be reviewed in a monthly **sales and operations planning (S&OP)** meeting. Licence/permit validity, system access, vendor master changes, fraud controls, alternate capacity, and business continuity should be reviewed quarterly. A full inventory, self-inspection, mock recall, and continuity exercise should occur at least annually or more often where risk, licence conditions, or applicable law require it.

12. Budget framework

No numerical operating budget should be approved until the product list, source countries, activity model, storage profiles, expected volumes, and partner quotations are known. The following categories must appear in George's master business budget.

Budget block	Included costs
Regulatory and professional	Classification/legal opinions, SAHPRA/pharmacy/customs/tax/environmental advice, applications, inspections and renewals
People and governance	Responsible Pharmacist/Quality/Regulatory, Procurement, customs/logistics, warehouse, IT/data and training
Supplier qualification	Questionnaires, audits, travel/remote audit, CAPA, requalification and database verification
Product quality	Technical files, specifications, methods, independent lab testing, reference standards, stability/packaging evidence and retain samples
Systems	ERP/WMS/QMS, validation, licences, integration, cybersecurity, audit trail, backups, scanners/printers and business intelligence
Premises and storage	3PL or lease, racks/cages, access control, pest/cleaning, mapped refrigerators/freezers/cold rooms, alarms, calibration and backup power
Logistics	Qualified packaging, loggers, freight, forwarder, ground handling, customs broker, controlled storage, last mile, insurance and alternate/recovery lanes
Working capital	Inventory, deposits, FX, duties/taxes cash flow, MOQ/order multiples, quarantine and safety stock
Exceptions	Qualification shipments, customs holds, excursions, replacement lots, returns, recalls, destruction, fraud/incident response and contingency

The **Landed Cost** and **Inventory Planner** sheets convert supplier and operating assumptions into decision-ready unit economics and replenishment proposals. Values highlighted as inputs must be populated from quotations, current customs advice, stability data, demonstrated lead times, and approved demand scenarios.

13. Principal risks and controls

Risk	Business impact	Primary control
Unregistered or misclassified product	Enforcement, detention, recall, lost stock, health and reputation damage	Signed SKU classification and claims memo; unresolved SKU blocked
Opaque or falsified supplier chain	Wrong identity, contamination, financial fraud	Manufacturer disclosure, database checks, risk audit, CoA authentication, independent testing and vendor controls

Risk	Business impact	Primary control
Inadequate specification	Product passes “purity” marketing claim but fails identity, content, impurity or microbiological needs	Product/route-specific specification, methods and independent scientific approval
Customs/permit error	Detention beyond thermal hold time, penalties and write-off	Broker pre-clearance, product-specific HS/restriction review and complete shipment pack
Temperature or freeze exposure	Degradation, aggregation, shortened life or rejection	Qualified packaging/lane, calibrated logger, automatic hold and stability-supported disposition
Theft/diversion/tampering	Public safety, reportable loss and financial damage	Secure overlay, vetted handlers, GPS, seals, custody scans and no safe drop
MOQ and intermittent demand	Simultaneous overstock, expiry and stockout	Scenario demand, shelf-life purchase cap, FEFO, near-expiry ladder and documented overrides
Returns re-enter saleable stock	Compromised goods redistributed	Return quarantine and default no-restock for cold-chain stock without complete evidence
System/master-data failure	Blocked or expired stock ships; recall fails	Validated status/lot/expiry controls, audit trail, access segregation, reconciliation, backup and downtime tests
Single point of failure	Emergency unqualified supplier, lab, port, cold room or courier choice	Prequalified alternatives and annual continuity exercise without waiving release gates

14. Immediate next actions for George

- 1 Compile the proposed SKU list with exact identity, form, presentation, intended user, claims, source, and expected channel; mark every item **BLOCKED** pending classification.
- 2 Decide whether George will be a clinician/pharmacy operation, genuine research supplier, cosmetic/supplement operation, or multiple **operationally segregated** entities/channels.
- 3 Appoint South African Regulatory/Legal and Quality leadership, including a Responsible Pharmacist where the selected activity requires one.
- 4 Select the lean partner model—licensed importer/wholesaler, pharmacy where applicable, 3PL, independent laboratory, customs broker, forwarder, and last-mile courier—and begin qualification.
- 5 Populate the workbook with the first proposed SKUs and supplier quotations; do not treat sample data or blank fields as approval.
- 6 Issue the minimum SOPs, configure the operational inventory system, qualify storage/packaging/lanes, and run a low-volume qualification order through receipt,

quarantine, testing, release, dispatch, failed-delivery, return, and mock-recall simulations.

- 7 Release commercial purchasing only after the cross-functional go/no-go confirms product authority, partner scope, quality evidence, landed economics, system controls, lane performance, and recall readiness.

References